3.2.2 Decision trees

Unit 3.2 Managers, leadership and decision making · 8 key points

- **Square:** decision point
- **Circle:** chance node (outcomes with probabilities)
- **Probabilities at a chance node:** add up to 1
- **Expected value:** sum of (probability × pay-off)
- **Net gain:** expected value − cost of the option
- **Choosing:** the option with the highest net gain, all else equal
- **Value:** makes managers set out options, costs and probabilities clearly
- **Limitations:** estimates; expected value never actually happens; ignores qualitative factors and attitude to risk